Legal Formation for Your CSA Chapter

This is an unofficial guidance document and does not represent official policy or legal advice on the part of CSA. Chapters should seek professional legal and tax advice. CSA cannot provide any legal assistance regarding how to set up a chapter entity. If you decide to legally register the chapter with the state or country as a corporation, not-for-profit, limited liability, etc., then please submit a copy of the documentation to CSA for our records once completed.

Legal formation is not required by CSA.

Importance of Formality

Having a nonprofit corporation legal structure or going under the fiscal sponsorship of another nonprofit corporation, is important for a few main reasons:

1. accounting of money
    - A bank may require legal formation. Individual banks and country requirements differ on what is required to open a chapter bank account.
2. avoiding personal liability.
3. to contract as a legal entity: For instance, to contract with CSA Global to allow the chapter to bring in Its own CCSK certified (by CSA Global) trainer.
4. to gain credibility with partners, sponsors and members.

Accounting: If there is any money flowing into and out of the entity, it is important to have structure and formality. If the entity is accepting money for a particular purpose, a donor relationship and an implied legal obligation to use the funds for that particular purpose is created. With this obligation comes the responsibility to account for the care and expenditure of funds. It is necessary to open a separate bank account so that the money is not commingled with personal money. To open a checking account for the new nonprofit a bank will ask for a banking resolution adopted by a board of directors. Using a personal checking account for an organization's business invites suspicion from others involved and might complicate an individual's personal tax situation.

Avoiding Personal Liability: Having a separate corporate entity, such as a nonprofit corporation, provides protection to individuals from personal liability. This means that if something goes wrong and someone makes a claim that they suffered some injury in the course of the work of the project, the claim will be against the nonprofit corporation and not the individual volunteer or employee. If there is no corporate entity and there is an accident in the course of the work, those involved can be sued personally.

Note: In the U.S., chapters can obtain an FEIN (Federal Employer Identification Number, also called an EIN) through the Internal Revenue Service (IRS) without filing for an independent 501(c)(6).

The Cloud Security Alliance does not require chapters to legally form. However, legal formation is covered below for the Cloud Security Alliance, including the 501(c)(6), for US tax exempt status.

Your chapter will need **by-laws** even if you are not a legal entity, and sample by-laws can be obtained from the Chapter Department by emailing: chapter-support@cloudsecurityalliance.org

1. Bank Accounts

- Decide on the need for a bank account:

  If your chapter is going to accept or pay out funds, a bank account will be required. Banking requirements vary by country and financial institution on what is required to open a bank account for an association. If the Board of Directors decides that a bank account is the right strategy, then the Board can decide which bank to approach, and determine requirements to setup the account.

  Individual personal bank accounts can possibly be established with a primary and secondary owner within the board officers. This would be an alternative to opening it in the chapter's name.

- Establish more than one authorized signer:

  Include a minimum of two signers on the bank authorization, so the bank account is not linked to only a single board member. Suggested signers: Treasurer/Finance board role, and the Secretary or President.

- Reporting:

  When a bank account is involved, establish regular financial reporting at board meetings.

- Alternative: Avoid Handling Funds

  Chapters may decide not to have a bank account or to have money directly change hands. In this case, any catering, venue, or other incurred expenses are paid directly by a sponsor. The chapter would not charge for events or membership, so no money would be collected.

  This is the best option for a startup chapter.

2. Legal Formation Across Countries

Countries and states will each have unique requirements. A chapter will need to determine what their region requires to operate.

2.1. The Cloud Security Alliance Legal Formation

CSA Global is legally formed as a not-for-profit, under U.S. incorporation as a **501(c)(6)**. This is a US government tax entity, which is typical for professional associations such as CSA.

2.2. Chapter Legal Formation

CSA chapters are affiliated under the CSA Global umbrella, and independent legal formation is *not* required by CSA. US Chapters can file under the Cloud Security Alliance umbrella.

If a chapter does form legally

- Chapter becomes an independent legal entity (but still chartered under CSA Global)
- Chapter board notifies the CSA Chapter Coordinator of legal formation details

3. Chapter Bylaws

Bylaws define the procedures of the organization and are approved by the directors of board.

They typically include how the chapter is organized, the power and election of the board's directors and officers, how vacancies will be filled, how meetings will be held for members and the board, and what fiscal period is set.

- Chapters will adapt bylaws to their individual needs. They should be specific enough to guide the chapter, and simple enough to meet chapter needs.

- All chapters should have bylaws documented and available online to the chapter's member community. Bylaws should be reviewed annually for changes.

- A bylaws template can be obtained from the CSA Chapter Department: chapter-support@cloudsecurityalliance.org

4. Articles of Incorporation

Articles of Incorporation define the legal identity of the organization—when a new legal entity is formed.

In the U.S., they are governed by, and filed under the Secretary of State, under the Corporations division, for the state in which that non-profit is incorporated.

These are required for chapters ONLY if forming a separate legal entity (refer to the last section in this guide if that is the case).

Different countries will follow different procedures and legal requirements if the chapter creates their own legal entity.

5. Directors' and Officers' Insurance

It is ***RECOMMENDED*** that a nonprofit corporation purchase liability insurance on behalf of its directors and officers to cover certain claims. A directors' and officers' insurance policy ("D&O insurance") will generally provide coverage for liability claims against a director or officer whether or not the corporation indemnifies that individual. Directors and officers will often want the corporation to provide D&O insurance even if the corporation's articles of incorporation or bylaws have generous indemnification provisions.

6. U.S. 501(c)(6) Tax Exemption Umbrella under the Cloud Security Alliance

U.S. Chapters can gain tax-exempt status under the Cloud Security Alliance's 501(c)(6) group exemption umbrella, when the following conditions are met:

The U.S. Chapter must

1. Authorize the Cloud Security Alliance in writing to include it in the group exemption
2. Place itself under the general control and supervision of the Cloud Security Alliance which requires the U.S. Chapter to
    - Submit an annual report, and
    - Adopt a by-law that allows the Cloud Security Alliance to remove its board or force its dissolution for non-compliance with general requirements of chapters or unsatisfactory performance or activities inconsistent with the goals and principles of the Cloud Security Alliance.
3. NOT be organized as a Private Foundation
4. Adopt a fiscal year of January 1st – December 31st
5. Organized in the United States
6. NOT permitted to engage in activities in any foreign country
7. Submit organizing documents to the Cloud Security Alliance for review and approval
8. File for and obtain its own Federal Employer Identification Number (FEIN) and use the FEIN in all filings
9. NOT file for tax exemption

The chapter will receive the Cloud Security Alliance's tax-exempt status when these requirements are met.

Note: Donations made to a 501(c)(6) organization are not deductible.

7. U.S. IRS Guidelines to Form a 501(c)(6) Organization

Chapters who wish to form their own legal organization may do so.

Requirements vary by State.
If a chapter forms their own legal organization, there is a Corporation commission under each State's Secretary of State for doing so. Requirements differ by state, but need to have by-laws and articles of incorporation. It involves a bit of work, and fees paid to the State for the filing.

7.1. Start-up Chapters

CSA does not advise this for start-up chapters. The chapter is responsible for their own filing and fees.

7.2. FEIN Filing

Before or after the chapter has completed the 501(c)(6) process for the state where they reside, they can file with the IRS for the FEIN—the business equivalent of a U.S. Social Security Number (SSN).

You can apply for a FEIN from here: http://www.irs.gov/Businesses/Small-Businesses-&-Self-Employed/Apply-for-an-Employer-Identification-Number-(EIN)-Online. You can also contact the IRS.

7.3. Form 1024 Filing

Apply using a form 1024 that is available online at your local Corporation Commission (the State agency operating through the Secretary of State).

Basic instructions follow, separate from the Corporation Commission under the Secretary of State filing in your state. These can be found online.

7.4. A 501(c)(6) as primary category for associations

IRS calls them "business leagues". It allows organizations to operate as a not-for-profit, without paying taxes on revenue, up to a set amount. An annual tax filing is required.

A 501(c)(3) is a charity organization or foundation
It carries different requirements and is not applicable to CSA chapters.

7.5. Following Section 501(c)(6) of the Internal Revenue Code

Provides a federal tax exemption for business leagues, chambers of commerce and other professional leagues that are not organized for profit. To fall under this exemption, your organization's mission must be to promote the common interest of the organization, and not benefit any particular member. Several steps that must be completed to acquire 501(c)(6) status:

Step 1

Draft Articles of Incorporation for the organization. Include the purpose of your organization, and specify how the assets of the organization will be distributed if the organization dissolves. In order to comply with Internal Revenue Service regulations, state that the assets will be distributed to another 501(c)(6) organization if your organization closes.

Step 2

File the Articles of Incorporation in the state where your organization is located. Visit the website for the Secretary of State and you will find the appropriate forms, filing fees and directions for filing. Articles of Incorporation may also be known as a "certificate of incorporation," "charter document" or "articles of organization." Keep a copy of the articles for your records.

Step 3

Download Form 1024 for recognition of exemption from the IRS website. Click on "Charities & Non-Profits," then "Other Non-Profits." From there, click on "Application for Recognition of Exemption," and then "Form 1024." Also download the instructions for the application from the same page.

Step 4

Prepare Form 1024. Select "501(c)(6)" on the first page, and then follow the IRS instructions that you downloaded. Provide as much information as possible about your organization's activities, board members and budget. Be as detailed and clear as possible. Check the "Procedural Checklist" to ensure that you have complied with all filing requirements and have included the appropriate attachments.

Step 5

Submit the application to the IRS. Download Form 8718, User Fee for Exempt Organization Determination Letter Request, to determine the fee and where to file the documents. On the IRS website, type "Form 8718" in the search box and click on the first result. Download the form, and mail Form 1024 to the address listed, along with the required fee.

Step 6

File Form 990 on an annual basis with the IRS. Failure to do so may result in fees or loss of exemption. Include financial information and updates to your organization's activities on the form. Further, check with your state treasurer to find out if there are any filings or taxes that must be made within your state.

7.6. US References & Resources

LegalZoom at http://info.legalzoom.com/incorporate-501c6-23157.html

- LegalZoom is included only as a reference for the instructions in Step 1-6 that are included above. They offer this service for a fee, but this is not a recommendation or endorsement.

The U.S. Internal Revenue Service (IRS)

- IRS: Business Leagues

  https://www.irs.gov/charities-non-profits/other-non-profits/life-cycle-of-a-business-league-trade-association

- IRS: Publication 557
  https://www.irs.gov/pub/irs-pdf/p557.pdf
  "Tax-Exempt Status for Your Organization" The 501C6 is covered on page 48.

****For SAMPLE BYLAWS, please send a request to the Chapter Department at: chapter-support@cloudsecurityalliance.org.***